

June ESI stabilises, suggesting worst is over

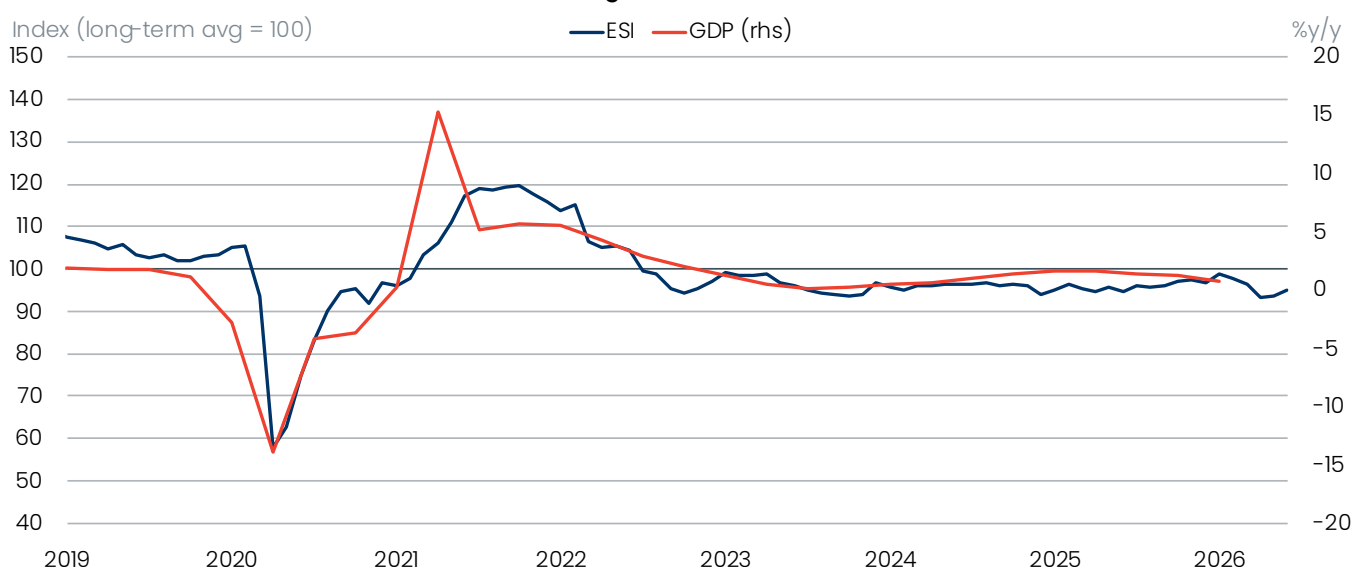
- Today's Economic Sentiment Index continued to move towards recovery, rising for a second month in a row to reach 95.0 in June. The reading supports the bottoming out message found in recent data, but the index remains well below the pre-war level, consistent with our view of a weak near-term outlook.
- A broad-based improvement was led by an uptick in consumer confidence, while services sentiment improved again after rising in May. Industry and retail sentiment both saw notable sentiment rebounds from May with industry reporting stronger production expectations. Construction declined again.
- Price expectations eased across all sectors in June, suggesting the inflation shock is starting to lose momentum. This adds further pressure on the ECB to remain on hold, but another hike cannot be discounted, as inflation expectations remain elevated and the US/Iran deal remains fragile.

Today's ESI climbed up 1.3 pts to 95.0 in June, rising for the second month in a row. The headline index remains well below its long-run average, so the recent increases point to stabilisation rather than a strong rebound, consistent with both the confidence shock starting to fade, but also a weak near-term outlook. At a country level the ESI improved in Germany, Italy and Spain, while it declined modestly in France.

At the sector level, the rise continued to be led by improvements for consumers and services as respondents reassessed the past and future situation more positively. In contrast to last month, industry also reported a slight improvement in sentiment with an improved assessment of stocks and production expectations, although export order books did deteriorate but are not included in the industrial sentiment indicator.

Chart 1: The ESI continued to improve in June, but remains below its pre-war level

Eurozone: Economic Sentiment Indicator and GDP growth



Sources: Oxford Economics, Haver Analytics

Selling price expectations eased significantly in June, with the decline seen across all business sectors, and strongest in construction and industry. This reinforces the signal from the PMIs that the inflation shock is starting to lose some momentum, reducing some upside risk to our inflation forecast and adding some additional pressure on the ECB to remain on hold for now. That being said, both sellers' and consumer price expectations remain significantly elevated which supports our view that policy rates may remain higher for longer.

However, employment expectations deteriorated in June across all sectors except industry, as managers revised their employment plans down, moving the indicator even further below its historical average. This points to a softer labour market outlook and adds downside risk to household spending as consumer unemployment expectations also remain high. However, the labour hoarding indicator once again remained above its average level suggesting that firms are still reluctant to cut headcounts aggressively despite weaker hiring intentions.

Overall, the June ESI supports our view that Eurozone sentiment troughed in April and that the economy is beginning to stabilise after the Iran shock, but the signal sent by surveys still suggests the recovery remains modest. The headline index remains below its long-run average and employment expectations weakened with firms remaining cautious on hiring. While the fall in price expectations is more encouraging, the US/Iran agreement remains fragile, so it does not dispel all of the risks to our inflation forecast. We continue to see activity remaining weak in Q2 before improving gradually from Q3.